

While wave X is far enough along to suggest that it will terminate in 1995, there is no way to forecast the length of wave Y. It could be as brief as 2 years, matching wave W; it could last 3 years, bottoming with several investment market cycles in 1998. One attractive termination date for wave Y would be New Year's Day of 2001 ($\pm$ a month). That way, it will have lasted a fat 5 years from 1995, a lean 21 years from the 1980 peak, and 34 years from the 1967 bottom. Two of gold's biggest turns, in 1974/5 and 1980, came at the cusp of the year, so there is precedent for a turn at that time.

These are simply ruminations, as time forecasts at this juncture must be considered unreliable and should be given zero weight relative to pattern and price relationships. If those factors fall in place at a Fibonacci time interval, then the time factor will add some weight to the picture.

Important Caveat

The gold pattern is analytically complex, adding a measure of uncertainty in the outlook. The successful application of every market forecasting approach requires an immediate response to probability-altering developments. At least the Wave Principle provides a knowledge that actually allows one to recognize such developments, mitigating the consequences of any inaccurate conclusion.

If in coming months gold exceeds the 1987 high by as little as \$20, it will negate this entire analysis, as neatly packaged as it may appear at the moment. Nor is that level far away, being only 15% above where gold is expected to climb.

Negation of an analysis does not automatically mean a complete reversal of the resulting stance. For instance, the upper interpretation shown in Figure 17-13 would imply a move somewhat beyond \$500, but only by \$50-\$150, in which case the long term bearish outlook would be delayed but not contraindicated. As shown in the lower half of Figure 17-13, it is also acceptable to count a "double three" nearly completed, where Y is a triangle that is currently in wave ④. So gold could finish its bear market from 1980 without falling to a new low, and soar thereafter. With silver having fallen 93%, this possibility must be entertained.

The market is precise, but it is also a living thing, not a machine. As such, it always has options open, even within the formal structure of the Wave Principle. If this analysis is negated, I will rewrite this chapter for the benefit of readers of a later edition.